



Figure 20.4 Sam spotted this bullish crab but shorted the stock.

Sam knows from experience that when a reversal pattern appears soon after a horizontal peak, it's a disaster waiting to happen. In this case, the horizontal peak was the AC move extended to the right, to the start of the trendline). This elongated top meant the bulls and bears were struggling for control but couldn't resolve their conflict. The slight downward tilt pushed the odds of winning to the bears.

The bears eventually won and shoved the stock downward through support. Even though the bulls tried to rally a few times on the way to point D, they didn't have lasting success (certainly not a trend change).

If you were to see the longer-term chart, you'd find that the A-C high is really part of a longer-term downtrend that started back in January 2018, suggesting more pressure to send the stock lower.

To Sam, though, the stock just *looked* as if it would continue lower. A check of other stocks in the same industry showed a mix. One was moving up at a good clip over the past year. One was moving up, but at a slower pace. One was flat and four, yes, four were dropping. It was a mix, but leaning toward being bearish.

He did his financial diligence on the company and what he found supported his bearish stance. Sam placed an order to short the stock a penny below the